

APLOVIN CORPORATION

(NASDAQ: APP)

A Superb Engine Entering Its Hardest Test: the Open Market

HOLD — \$335.00 Target

Equity Research Note · Technology — Advertising Technology · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
HOLD	\$335.00	\$268.22	+24.9%	High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$90.1 bn (at \$268.22)	Q3'26 guidance	Revenue +46–48% at ~83% EBITDA margin
Net debt	~\$0.5 bn (excl. \$500 mn Tripledot stake)	2026E revenue (consensus)	~\$8.01 bn
52-week range	~\$266.84 – \$738.01	Overhangs	Securities class action; Unity litigation
TTM revenue (2025)	\$5.48 bn	Next catalyst	Q3 2026 earnings
TTM FCF	~\$3.94 bn	Multiple check	~12x FY26E EV/EBITDA; ~17x P/E

1 Investment Thesis

AppLovin owns one of the finest advertising engines ever built. AXON, the AI bidder at the heart of its software business, has delivered sustained 50%+ revenue growth at roughly 85% adjusted EBITDA margins — economics with almost no precedent in ad-tech. In June 2026 the company made the defining move of its history: it opened AXON to all advertisers through a global self-serve platform, ending the curated, referral-only era. The question now is whether AXON's legendary precision survives contact with the open market.

Our judgment: the engine is real, but the self-serve era is a different business than the curated era, and the market has not yet priced that difference. Third-party checks show genuine adoption — pixels at roughly 5,500 merchants by early 2026, growing about 200 per week — yet the legitimate question, raised by skeptical channel checks, is whether installations convert into durable spend. E-commerce is now the swing factor: independent surveys credit AppLovin with about 11% of e-commerce ad volume by mid-2026, the largest share gain of any ad network, and a September 2026 study of 755 e-commerce brands found 2.9x lifetime ROAS on the platform. That is early but genuinely encouraging evidence — not yet a verdict.

The overhangs, however, are non-trivial. A securities class action covering February through August 2026 alleges management overstated the pace of AI-model improvements and the readiness of its generative-AI video creative tool; a separate lawsuit against Unity over alleged misuse of MAX auction data adds headline risk. With third-quarter guidance calling for 46–48% revenue growth at ~83% EBITDA margins — numbers that must be hit to sustain the multiple — we see a balanced risk/reward at \$268.22. HOLD. The path to materially higher prices requires proof that self-serve e-commerce advertisers spend and retain like gaming advertisers did.

Our 10-year scenario DCF values the equity at a probability-weighted \$333 — bear \$109 / base \$323 / bull \$577 — rounded to our \$335 target, +25% above the current price but with the bear case (\$109) sitting 59% below it. That spread is the honest summary: this is a wonderful-asset, show-me-the-retention situation. The reverse DCF says the current price implies ~9% ten-year revenue CAGR on base-case economics — the market is already paying for a great

deal of growth, leaving the margin of safety thin until retention is proven.

2 Business Overview — What AppLovin Corporation Is Doing

(Palo Alto, California; CEO Adam Foroughi)

AppLovin, based in Palo Alto, California, is an ad-tech company built around three assets: AXON, the AI engine that optimizes ad bidding and user acquisition; MAX, one of the largest mobile in-app mediation platforms, which supplies AXON with proprietary auction data; and AppDiscovery, its user acquisition suite for app developers. The company historically also operated a portfolio of owned mobile games, but the economic engine — and the investment story — is the software business, which converts the overwhelming majority of EBITDA to free cash flow.

The strategic arc is expansion beyond mobile gaming, the vertical where AXON proved itself. E-commerce is the first new vertical at scale, with connected TV the next frontier. Generative-AI creative tools — interactive page and video ad generators — are meant to close the onboarding gap for smaller merchants, and the referral program is widening the funnel down-market. Whether the funnel converts is the central empirical question of 2026 and 2027. Capital allocation is a quiet strength: the business's cash conversion funds buybacks that have steadily reduced the share count, and that compounding matters more at today's price than it did at the December 2025 peak.

What the company is doing now

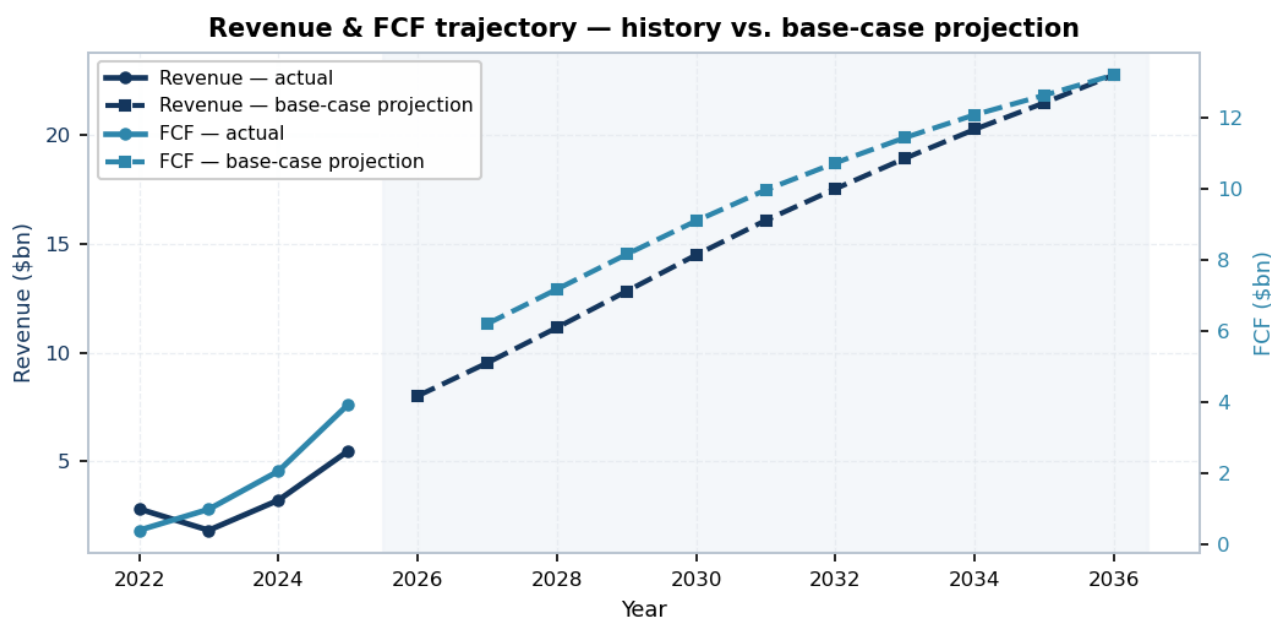
- **The self-serve pivot is the defining move.** Opening AXON to all advertisers in June 2026 trades curation for scale. The upside is a third performance-advertising pillar alongside Meta and Google; the risk is that open access commoditizes the signal.
- **Connected TV is the plausible second act.** The same AXON bidding intelligence applied to a larger, less mature inventory pool, where targeting precision is scarcer and therefore more valuable. We do not underwrite CTV in the base case — it is early — but it lengthens the growth runway if e-commerce adoption follows the gaming playbook.

3 Financial Analysis

The financial profile is extraordinary and deteriorating-in-a-good-way: revenue grew from \$1.84 billion in 2023 to \$5.48 billion in 2025 while free cash flow went from \$1.0 billion to \$3.94 billion — FCF margins in the 60s–70s, a software business with ad-network growth. The model's base case has FCF margins fading from 66% to 58% over ten years as the advertiser base broadens and take-rates normalize; we do not assume peak margins in perpetuity.

The balance sheet is clean: ~\$462 million of net debt against ~\$98.7 billion of base-case enterprise value, plus a \$500 million placeholder for the 20% Tripledot stake. The multiples cross-check is instructive: ~12x FY26E EV/EBITDA and ~17x FY26E P/E are full but not absurd for these economics; 22x FY27E EPS or 15x FY27E EBITDA both point to ~\$400, above our DCF target — the DCF is the more conservative anchor, and we keep it.

Revenue & cash-flow trajectory



History: revenue and operating-CF-minus-capex (Yahoo). Projection: the model's base-case FY27–FY36 FCF path (FY26 revenue anchor shown). Shaded = projection.

4 Moat & Competition

- **AXON's data flywheel.** MAX mediation supplies proprietary auction data that improves AXON's bidding models; better bidding wins more advertisers, which feeds more auction data. This loop is the moat, and it is why the curated-era economics were so strong.
- **Scale in mobile gaming.** The largest share gains in e-commerce ad volume of any network by mid-2026 suggest the targeting advantage transfers across verticals — the core bull thesis.
- **Cash conversion.** Mid-60s FCF margins fund buybacks and R&D without leverage, a structural advantage over ad-tech peers that must choose between growth and balance-sheet repair.
- **Vulnerability: the moat is data-depth, not switching cost.** If open access degrades signal quality — more advertisers on the same inventory — the flywheel can run in reverse. Unity's MAX auction is the live competitive test.

5 Valuation — 10-year scenario FCFF DCF, Fair Value \$335

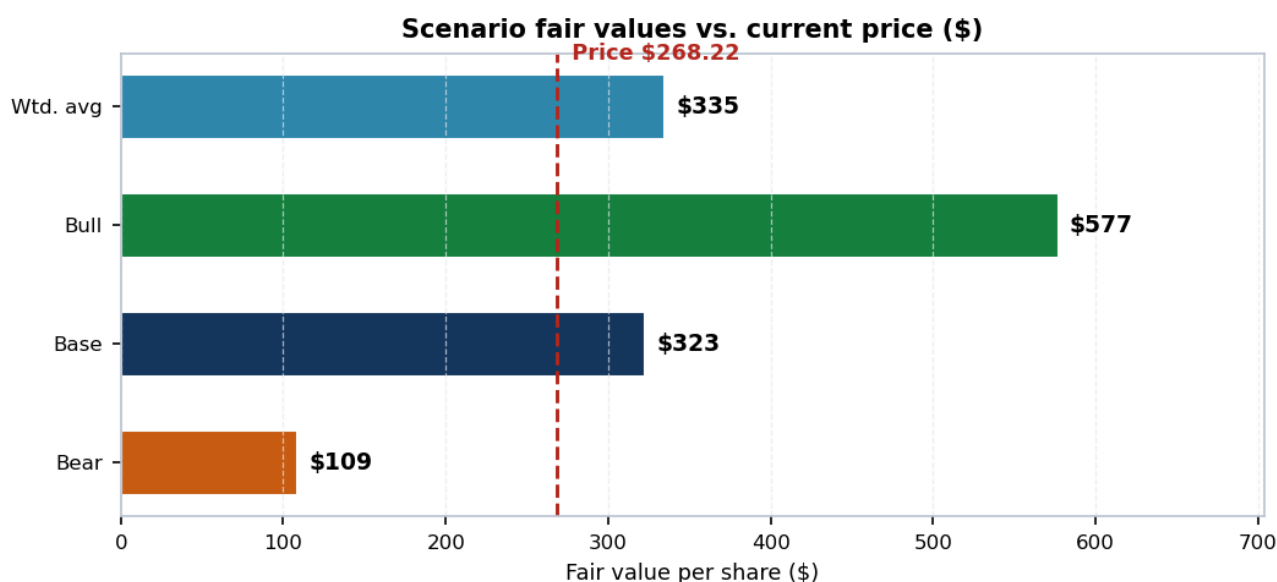
We value AppLovin on a probability-weighted 10-year scenario DCF (FY27–FY36), weighted bear 25% / base 50% / bull 25%, with scenario-specific discount rates: bear 14.5% (base + 250bp), base 12.0% (the speculative tier — ad-tech cyclical, litigation, unproven self-serve retention), bull 10.5% (base – 150bp). Terminal growth is 1.5% / 2.5% / 2.5% on year-10 FCF at normalized margins — never peak margins. Terminal value is 26–56% of EV across scenarios, under the 70% guardrail.

The base case assumes the post-surge business mean-reverts gracefully: ~11% ten-year revenue CAGR off the 2026 base, FCF margins gliding 66%→58%. The bear assumes Unity takes share via MAX auctions, the AXON cadence stalls, and the e-commerce pixel proves a false start — growth collapses to ~1% CAGR and margins compress to 50%. The bull assumes AXON 3.0 ships, creative unlocks, e-commerce onboarding proves real, and connected TV works: 15.5% CAGR, margins holding in the 60s.

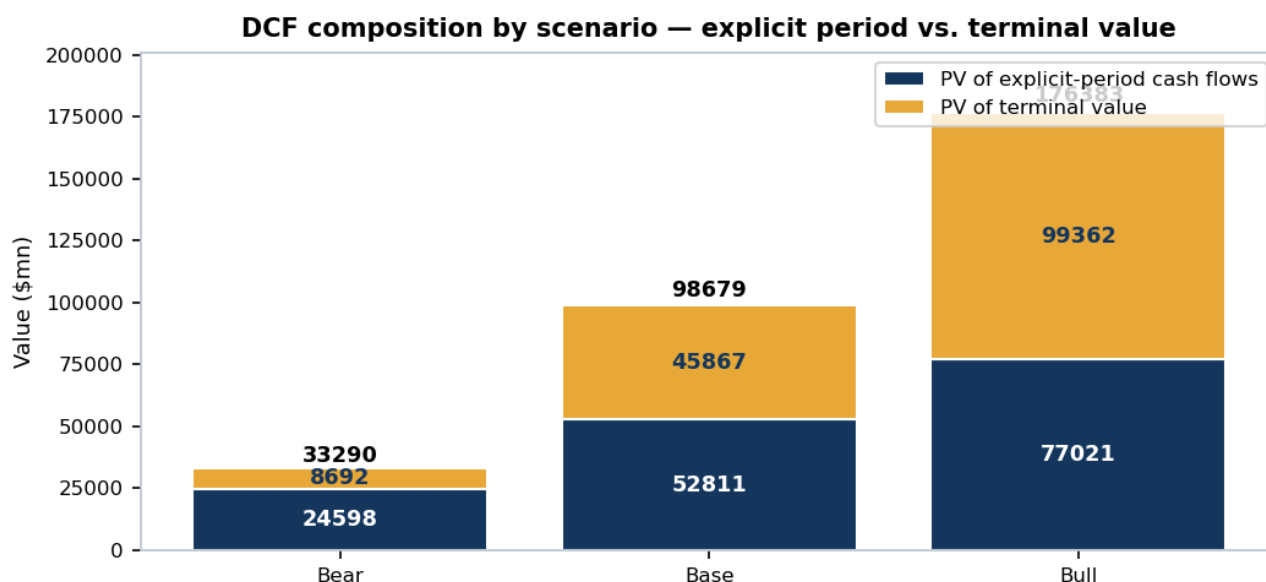
Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Unity takes share via MAX auctions, AXON cadence stalls, e-commerce pixel is a false start; growth collapses and FCF margins compress to 50%.	+0.7%	50%	14.5% / 1.5%	26%	\$109.02
Base	Post-surge mean reversion; take-rate fades but AXON stays best-in-class; FCF margins glide 66%→58% as the advertiser base broadens.	+11.0%	58%	12.0% / 2.5%	46%	\$322.92
Bull	AXON 3.0 ships, creative unlocked, e-commerce onboarding real, connected TV works; durable 15.5% growth with margins holding in the 60s.	+15.5%	62%	10.5% / 2.5%	56%	\$577.10
Wtd. avg	Probability-weighted (25/50/25) → \$335.00 target					\$335.00

Probability-weighted DCF value is \$332.99 ($0.25 \times \$109.02 + 0.50 \times \$322.92 + 0.25 \times \577.10), rounded to our \$335 target. Composition is on an EV basis; the bridge to equity is ~\$462M of net debt less the \$500M Tripledot stake.

Scenario fair values vs. current price (\$)



DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$mn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Self-serve dilution.** Open access may compress ROAS and churn smaller advertisers, undermining the growth narrative — the central risk of the note.
- **Securities class action (Feb–Aug 2026 class period).** Alleges overstated AI-model progress and video-tool readiness; headline and financial risk.
- **Unity litigation.** Alleged MAX auction-data misuse; competitive and reputational overhang.
- **Expectations risk.** 46–48% guided revenue growth leaves little room for a miss at the current multiple.
- **Customer concentration.** Mobile gaming advertisers still dominate during the transition to e-commerce.
- **Privacy and platform risk.** Changes to mobile OS attribution (Apple, Google) could impair targeting efficacy.

What would change our mind

Two consecutive quarters of self-serve advertiser cohorts showing gaming-like retention and spend expansion — the single most important proof point — plus independent ROAS studies at larger scale confirming the early 2.9x lifetime figure, would move us toward BUY. Conversely, a guided growth deceleration into the teens, or evidence that pixel installs are not converting to spend, would move us toward REDUCE. Resolution of the class action without material damages or adverse disclosure removes an overhang; connected TV contributing a visible second growth leg adds one.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.